

|                                      |                                                        |
|--------------------------------------|--------------------------------------------------------|
| <b>Retail Research</b>               | <b>IPO Note</b>                                        |
| <b>Sector: NBFC</b>                  | <b>Price Band (Rs): 133 - 140</b>                      |
| <b>21<sup>st</sup> November 2023</b> | <b>Recommendation: Subscribe for Long Term Horizon</b> |

## Fedbank Financial Services Limited

### Company Overview:

Fedbank Financial Services Limited (FFSL) provides Gold Loans, Home Loans, Loan Against Property (LAP) and Business Loan Services. Fedbank is a retail-focused non-banking finance company (NBFC), with the second lowest cost of borrowing among the micro, small, and medium enterprises (MSMEs) and gold loan peer set in India in FY23. The company's clientele comes mainly from the MSME and emerging self-employed individuals (ESEI) sectors. The company's product range includes mortgage loans such as housing loans; small ticket loans against property (LAP); and medium ticket LAP, unsecured business loans, and gold loans. The company also has a Phygital doorstep model, a combination of digital and physical initiatives, for providing customized services to customers across all the products.

### Key Highlights:

**1. Robust Advance Growth:** As on March 31, 2023, FFSL had the third fastest AUM growth among NBFCs in the peer set in India with a 3-year CAGR of 33% between FY20 and FY23, and the fourth fastest YoY AUM growth of 42% for three-months period ended June 30, 2023. It is one among five private banks promoted NBFCs in India. It is the fastest growing gold loan NBFC in India among the peer set as of March 31, 2023, and had the fastest YoY growth among gold loan NBFCs in India as of June 30, 2023. As on June 30, 2023, 86.24% of its total Loan Assets are secured against tangible assets, namely gold or customer's property.

**2. Product portfolio:** FFSL caters to an array of products which includes mortgage loans such as housing loans; small ticket loan against property ("LAP"); and medium ticket LAP, unsecured business loans, and gold loans. As on June 30, 2023, AUM across various products was 33.12% for gold loans, 25.33% for medium ticket LAP, 24.52% for small ticket LAP and housing loans and 15.76% for unsecured business loans.

**3. Branch Network:** As of June 30, 2023, it operates through 584 branches, of which 237 branches were located in western and northern India in the states/union territory of Gujarat, Maharashtra and Delhi and 272 branches were located in southern India in states of Telangana, Andhra Pradesh, Tamil Nadu and Karnataka. The remainder were spread across contiguous states and union territories in India. It had 1,796 local channel partners, to complement its branch network and increase geographical penetration while controlling costs. The Company employed 3,732 people, 77.12% of staff are in the sales function, while 11.87% of the employees are dedicated for credit, risk management, audit and quality functions.

**Valuation:** The company is valued at P/BV of 2.5x/2.6x of its 1QFY24 financial data at the lower and upper price band respectively on post-issue capital. It has registered robust growth among gold loan NBFCs in India as of 1QFY24. Its presence in the under-penetrated retail segment provides significant opportunity for growth. Further, it has strong parentage along with access to low-cost borrowings which sets it apart from other NBFCs. The asset quality remains healthy over the year which shows company's resilient credit underwriting skills. We recommend investors to subscribe the issue at Cut-Off price for a long-term investment horizon.

| Issue Details                 |                                                                 |
|-------------------------------|-----------------------------------------------------------------|
| Date of Opening               | 22 <sup>nd</sup> November 23                                    |
| Date of Closing               | 24 <sup>th</sup> November 23                                    |
| Price Band (Rs)               | 133 – 140                                                       |
| Issue Size (Rs cr)            | 1,067.7-1,092.3                                                 |
| No. of shares (Cr)            | 7.80-8.02 (44% OFS)                                             |
| Face Value (Rs)               | 10                                                              |
| Post Issue Market Cap (Rs cr) | 4,936.8 – 5,165.1                                               |
| BRLMs                         | ICICI Securities, BNP Paribas, Equirus Capital and JM Financial |
| Registrar                     | Link Intime India Private Limited                               |
| Bid Lot                       | 107 shares and in multiple thereof                              |
| QIB shares                    | 50%                                                             |
| Retail shares                 | 35%                                                             |
| NII shares                    | 15%                                                             |

| Shareholding Pattern      |                     |              |
|---------------------------|---------------------|--------------|
| Pre-Issue                 | No. of Shares       | %            |
| Promoter & Promoter Group | 23,56,85,332        | 72.3         |
| Public & Others           | 9,03,90,608         | 27.7         |
| <b>Total</b>              | <b>32,60,75,940</b> | <b>100.0</b> |

| Post Issue @Lower Price Band | No. of Shares       | %            |
|------------------------------|---------------------|--------------|
| Promoter & Promoter Group    | 23,02,10,662        | 62.0         |
| Public and Others            | 14,09,78,060        | 38.0         |
| <b>Total</b>                 | <b>37,11,88,722</b> | <b>100.0</b> |

| Post Issue @Upper Price Band | No. of Shares       | %            |
|------------------------------|---------------------|--------------|
| Promoter & Promoter Group    | 23,02,10,662        | 62.4         |
| Public and Others            | 13,87,22,421        | 37.6         |
| <b>Total</b>                 | <b>36,89,33,083</b> | <b>100.0</b> |

Source: RHP, SSL Research

## Key Financials (Pre-Issue)

|                         | FY21    | FY22    | FY23    | 3MFY23  | 3MFY24  |
|-------------------------|---------|---------|---------|---------|---------|
| Interest Income (Rs Cr) | 658.1   | 821.9   | 1,110.1 | 233.6   | 341.2   |
| Total Income (Rs Cr)    | 384.5   | 536.0   | 742.5   | 158.2   | 204.3   |
| PAT (Rs Cr)             | 61.8    | 103.5   | 180.3   | 43.7    | 53.9    |
| Market Cap (Rs Cr)      | 4,058.9 | 4,494.0 | 4,506.6 | 4,501.0 | 4,506.6 |
| EPS (Rs)                | 2.1     | 3.2     | 5.6     | 1.4*    | 1.7*    |
| PE (x)**                | 65.7    | 43.4    | 25.0    | 102.9*  | 83.7*   |
| P/BV (x)***             | 4.9     | 3.9     | 3.3     | 3.7     | 3.2     |
| RoA (%)                 | 1.1     | 1.7     | 2.3     | 0.6*    | 0.6*    |
| RoE (%)                 | 7.4     | 10.4    | 14.4    | 3.6*    | 3.9*    |

\* Not Annualized

\*\* PE(x) is calculated on upper price band

\*\*\* P/BV (x) is calculated on upper price band

Source: RHP, SSL Research

## Risk Factors

- **Asset-liability mismatches:** Company may face asset-liability mismatches, which could affect liquidity and consequently may adversely affect operations and profitability. It may face potential liquidity risks because assets and liabilities mature over different periods.
- **Concentration Risk:** As on June 30, 2023, 93.65% of gross AUM was located in Gujarat, Maharashtra, Telangana, Andhra Pradesh, Tamil Nadu, Karnataka, Puducherry and Delhi. Accordingly, operations are concentrated in six states and two union territories and any adverse developments in these regions could have an adverse effect on business and results of operations.
- **Operational Risk:** High volumes of cash and gold jewellery in a dispersed network of branches, company is exposed to operational risks, including employee negligence, fraud, petty theft, burglary and embezzlement, which could harm results of operations and financial position.
- **Non-Maintenance of capital adequacy ratio could adversely affect business:** Failure to comply with minimum capital adequacy requirements and NOF, under current or future regulations, may result in adverse actions being initiated by RBI, including imposition of penalties and may adversely affect business, financial condition and results of operations.

## Growth Strategy

- **Large Opportunity:** Presence in large, underpenetrated markets with strong growth potential.
- **Digitalisation will lead to cost benefit:** Technology driven company with scalable operating model.
- **Strong Management Pedigree:** Experienced and cycle tested management team.
- **Diversified Funding Profile:** Well diversified funding profile with an advantage of lower cost of funds.
- **Strong Risk Management:** Strong underwriting capability and presence in select customer segment combined with robust risk management capabilities focused on effective underwriting and collections.

## Asset Under Management

| Particulars (Rs cr) | FY21    | FY22    | FY23     | 3MFY23  | 3MFY24  |
|---------------------|---------|---------|----------|---------|---------|
| AUM                 | 4,862.4 | 6,187.2 | 9,069.6  | 6,644.4 | 9,434.2 |
| AUM Growth (%)      | 26.7    | 27.3    | 46.6     | 7.7     | 4.0     |
| Disbursement        | 5,893.6 | 7,469.7 | 10,748.6 | 2,546.2 | 2,965.5 |

Source: RHP, SSL Research

## Asset Quality

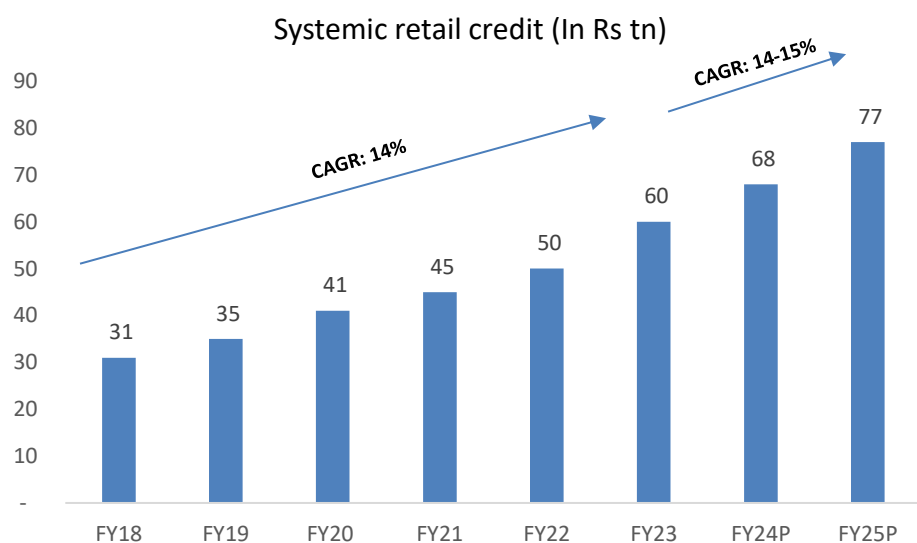
| Particulars | FY21 | FY22 | FY23 | 3MFY23 | 3MFY24 |
|-------------|------|------|------|--------|--------|
| GNPA (%)    | 1.0  | 2.2  | 2.0  | 2.0    | 2.3    |
| NNPA (%)    | 0.7  | 1.8  | 1.6  | 1.6    | 1.8    |
| PCR (%)     | 29.9 | 22.1 | 22.2 | 23.7   | 22.3   |

Source: RHP, SSL Research

## Industry Overview

### Retail Credit

Over last few years, retail credit grew at a strong pace from Rs 31 tn in FY18 to Rs 60 tn in FY23 and it constituted 32% of total systemic credit in India. The credit gap is much larger in case of Emerging Self-Employed Individuals. Retail credit is expected to further log a CAGR of 14-15% between FY23 and FY25. It is likely to be propelled by an increase in private consumption with a steady rise in GDP growth, a shift in attitude of consumers towards debt, the continuing trend of urbanization and nuclearization, increased availability of data from credit bureaus as well as non-traditional data and financiers leveraging technology and data analytics to serve their target markets more efficiently.



Source: RHP, SSL Research

## Financial Snapshot

| INCOME STATEMENT                         |              |              |              |              |              |
|------------------------------------------|--------------|--------------|--------------|--------------|--------------|
| (Rs cr)                                  | FY21         | FY22         | FY23         | 3MFY23       | 3MFY24       |
| Interest Income                          | 658.1        | 821.9        | 1,110.1      | 233.6        | 341.2        |
| Interest & Other Financial Charges       | 313.1        | 347.7        | 472.1        | 97.8         | 163.6        |
| <b>Net Interest Income</b>               | <b>345.0</b> | <b>474.2</b> | <b>638.0</b> | <b>135.8</b> | <b>177.6</b> |
| Other Income                             | 39.5         | 61.8         | 104.5        | 22.4         | 26.6         |
| <b>Total Income</b>                      | <b>384.5</b> | <b>536.0</b> | <b>742.5</b> | <b>158.2</b> | <b>204.3</b> |
| <b>Operating Expenditures</b>            | <b>236.2</b> | <b>312.9</b> | <b>435.1</b> | <b>90.6</b>  | <b>121.6</b> |
| Employee Exps.                           | 131.6        | 175.4        | 247.6        | 56.9         | 69.2         |
| Other Exps.                              | 104.7        | 137.5        | 187.5        | 33.7         | 52.3         |
| <b>Operation Profit before Provision</b> | <b>148.2</b> | <b>223.1</b> | <b>307.4</b> | <b>67.6</b>  | <b>82.7</b>  |
| Provisions Excluding Tax                 | 71.2         | 83.9         | 48.9         | 9.6          | 10.7         |
| <b>Operating Profit After Provision</b>  | <b>77.0</b>  | <b>139.2</b> | <b>258.5</b> | <b>58.0</b>  | <b>72.1</b>  |
| Exceptional Items                        | -            | -            | 15.4         | -            | -            |
| <b>Profit Before Tax</b>                 | <b>77.0</b>  | <b>139.2</b> | <b>243.2</b> | <b>58.0</b>  | <b>72.1</b>  |
| <b>Provision for Tax</b>                 | <b>15.3</b>  | <b>35.8</b>  | <b>62.9</b>  | <b>14.2</b>  | <b>18.2</b>  |
| <b>Profit After Tax</b>                  | <b>61.8</b>  | <b>103.5</b> | <b>180.3</b> | <b>43.7</b>  | <b>53.9</b>  |

| BALANCE SHEET                                      |                |                |                |                |                |
|----------------------------------------------------|----------------|----------------|----------------|----------------|----------------|
| (Rs cr)                                            | FY21           | FY22           | FY23           | 3MFY23         | 3MFY24         |
| Particulars                                        | FY21           | FY22           | FY23           | 1QFY23         | 1QFY24         |
| <b>Shareholder's fund</b>                          | <b>834.7</b>   | <b>1,153.0</b> | <b>1,355.7</b> | <b>1,202.4</b> | <b>1,414.8</b> |
| Share capital                                      | 289.9          | 321.0          | 321.9          | 321.5          | 321.9          |
| Reserves and surplus                               | 544.8          | 832.0          | 1,033.8        | 880.9          | 1,092.9        |
| <b>Non-current liabilities</b>                     | <b>4,631.6</b> | <b>5,402.7</b> | <b>7,724.2</b> | <b>5,801.9</b> | <b>7,997.7</b> |
| Debt securities                                    | 593.7          | 533.4          | 611.2          | 674.3          | 698.7          |
| Borrowings                                         | 3,475.9        | 4,224.4        | 6,264.9        | 4,557.7        | 6,452.9        |
| Subordinated Liabilities                           | 258.5          | 259.1          | 259.7          | 265.3          | 467.8          |
| Other Liability and Provision                      | 303.5          | 385.8          | 588.4          | 304.6          | 378.3          |
| <b>Total Equity and Liabilities</b>                | <b>5,466.3</b> | <b>6,555.7</b> | <b>9,079.9</b> | <b>7,004.3</b> | <b>9,412.5</b> |
| <b>Assets</b>                                      |                |                |                |                |                |
| <b>Non-current assets</b>                          |                |                |                |                |                |
| Cash and cash equivalents                          | 526.0          | 66.0           | 94.0           | 82.3           | 247.7          |
| Bank balances other than cash and cash equivalents | 154.8          | 76.6           | 0.7            | 50.9           | -              |
| Investments                                        | 32.5           | 514.3          | 680.6          | 503.7          | 554.3          |
| Advances                                           | 4,552.1        | 5,644.8        | 7,999.7        | 6,108.1        | 8,296.6        |
| Fixed Assets                                       | 131.7          | 151.2          | 143.1          | 143.4          | 141.8          |
| Other Assets                                       | 69.2           | 102.7          | 161.8          | 115.9          | 172.1          |
| <b>Total assets</b>                                | <b>5,466.3</b> | <b>6,555.7</b> | <b>9,079.9</b> | <b>7,004.3</b> | <b>9,412.5</b> |

Source: RHP, SSL Research

| Key Financials and Valuation Ratios (Post-Issue) |         |         |         |         |         |
|--------------------------------------------------|---------|---------|---------|---------|---------|
|                                                  | FY21    | FY22    | FY23    | 3MFY24  | 3MFY24  |
|                                                  |         |         |         | Lower   | Upper   |
| CMP (Rs)                                         | 140     | 140     | 140     | 133     | 140     |
| EPS (Rs)                                         | 2.1     | 3.2     | 5.6     | 5.8*    | 5.8*    |
| Market Cap (Rs Cr)                               | 4,058.9 | 4,494.0 | 4,506.6 | 4,936.8 | 5,165.1 |
| BV per share (Rs)                                | 28.8    | 35.9    | 42.1    | 54.3    | 54.6    |
| PE(x)                                            | 65.7    | 43.4    | 25.0    | 22.9*   | 24.0*   |
| P/BV (x)**                                       | 4.9     | 3.9     | 3.3     | 2.5     | 2.6     |
| NIM (%)                                          | 6.6     | 8.2     | 8.5     | 8.0*    | 8.0*    |
| ROA (%)                                          | 1.1     | 1.7     | 2.3     | 2.3*    | 2.3*    |
| Cost of fund (%)                                 | 7.2     | 7.4     | 7.8     | 8.9*    | 8.9*    |
| Yield on Assets (%)                              | 12.5    | 14.2    | 14.7    | 17.7*   | 17.7*   |
| Spread (%)                                       | 5.3     | 6.8     | 7.0     | 8.8*    | 8.8*    |
| Cost to Income Ratio (%)                         | 61.4    | 58.4    | 58.6    | 59.5    | 59.5    |
| RoE (%)                                          | 7.4     | 10.4    | 14.4    | 15.6*   | 15.6*   |
| GNPA (%)                                         | 1.0     | 2.2     | 2.0     | 2.3     | 2.3     |
| NNPA (%)                                         | 0.7     | 1.8     | 1.6     | 1.8     | 1.8     |
| PCR (%)                                          | 22.2    | 22.1    | 29.9    | 22.3    | 22.3    |

\*Annualized

\*\* P/BV is calculated at upper band on post issue capital based on net worth data as of 3MFY24.

Source: RHP, SSL Research

## Peer Comparison

|                     | FedBank      |              |                     |                            |              |                    |                 |              |
|---------------------|--------------|--------------|---------------------|----------------------------|--------------|--------------------|-----------------|--------------|
|                     | Lower        | Upper        | Aptus Value Housing | Five-Star Business Finance | SBFC Finance | Manappuram Finance | Muthoot Finance | IIFL Finance |
| <b>CMP (Rs)</b>     | <b>133.0</b> | <b>140.0</b> | <b>295.6</b>        | <b>804.9</b>               | <b>91.4</b>  | <b>155.0</b>       | <b>1,339.4</b>  | <b>620.8</b> |
| Market. Cap (Rs Cr) | 4,936.8      | 5,165.1      | 14,744.2            | 23,478.9                   | 9,733.1      | 13,115.5           | 53,769.3        | 23,660.9     |
| P/BV (x)            | 2.5          | 2.6          | 4.2                 | 5.0                        | 3.8          | 1.2                | 2.3             | 2.4          |
| P / E (x)           | 22.9*        | 24.0*        | 26.6                | 33.4                       | 65.3         | 7.0                | 13.5            | 14.0         |
| AUM (Rs bn)         | 94.0         | 94.0         | 67.0                | 69.0                       | 49.0         | 355.0              | 632.0           | 646.0        |
| NIM (%)             | 8.0*         | 8.0*         | 12.2                | 16.4                       | 7.4          | 11.5               | 9.3             | 8.5          |
| ROA (%)             | 2.3*         | 2.3*         | 7.8                 | 8.0                        | 2.9          | 4.5                | 4.9             | 3.4          |
| RoE (%)             | 15.6*        | 15.6*        | 16.1                | 15.0                       | 9.9          | 15.0               | 17.6            | 16.9         |
| NNPA %              | 1.8          | 1.8          | 0.9                 | 0.7                        | 1.4          | 1.2                | 3.4             | 1.1          |

\* Annualized

The data is based on FY23 financial data.

For Fedbank Financial Services Limited, P/BV(x) is calculated on post-issue equity share capital based on net worth data as of 3MFY24.

CMP as on 17th November'23.

Source: RHP, SSL Research

**SBICAP Securities Limited**

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